

This section will not mention people's names. But we have every reason to give concrete examples of companies. The "performance fund" most in the public's eye was undoubtedly Manhattan Fund, Inc., organized at the end of 1965. Its first offering was of 27 million shares at \$9.25 to \$10 per share. The company started out with \$247 million of capital. Its emphasis was, of course, on capital gains. Most of its funds were invested in issues selling at high multipliers of current earnings, paying no dividends (or very small ones), with a large speculative following and spectacular price movements. The fund showed an overall gain of 38.6% in 1967, against 11% for the S & P composite index. But thereafter its performance left much to be desired, as is shown in Table 9-2.

TABLE 9-2 A Performance-Fund Portfolio and Performance
(Larger Holdings of Manhattan Fund, December 31, 1969)

Shares Held (thousands)	Issue	Price	Earned 1969	Dividend 1969	Market Value (millions)
60	Teleprompter	99	\$.99	none	\$ 6.0
190	Deltona	60%	2.32	none	11.5
280	Fedders	34	1.28	\$.35	9.5
105	Horizon Corp.	53%	2.68	none	5.6
150	Rouse Co.	34	.07	none	5.1
130	Mattel Inc.	64%	1.11	.20	8.4
120	Polaroid	125	1.90	.32	15.0
244 ^a	Nat'l Student Mkt'g	28%	.32	none	6.1
56	Telex Corp.	90%	.68	none	5.0
100	Bausch & Lomb	77%	1.92	.80	7.8
190	Four Seasons Nursing	66	.80	none	12.3 ^b
20	Int. Bus. Machines	365	8.21	3.60	7.3
41.5	Nat'l Cash Register	160	1.95	1.20	6.7
100	Saxon Ind.	109	3.81	none	10.9
105	Career Academy	50	.43	none	5.3
285	King Resources	28	.69	none	8.1
					\$130.6
Other common stocks					93.8
Other holdings					19.6
Total investments ^c					\$244.0

^a After 2-for-1 split.

^b Also \$1.1 million of affiliated stocks.

^c Excluding cash equivalents.

Annual Performance Compared with S & P Composite Index

	1966	1967	1968	1969	1970	1971
Manhattan Fund	- 6 %	+38.6%	- 7.3%	-13.3%	-36.9%	+ 9.6%
S & P Composite	-10.1%	+23.0%	+10.4%	- 8.3%	+ 3.5%	+13.5%

The portfolio of Manhattan Fund at the end of 1969 was unorthodox to say the least. It is an extraordinary fact that two of its largest investments were in companies that filed for bankruptcy within six months thereafter, and a third faced creditors' actions in 1971. It is another extraordinary fact that shares of at least one of these doomed companies were bought not only by investment funds but by university endowment funds, the trust